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THE CURIOUS CASE OF CASA

▶ Savers now prefer investing in equities and FDs over low-yield savings accounts

▶ CASA has come down for banks because of reduced savings and current account balances

▶ Banks face higher costs as CASA ratios decline, reducing their ability to generate low-cost funds

▶ Lower CASA ratios can reduce banks' profitability and impact their NIMs

▶ Banks may see a slight improvement in their CASA ratio when interest rates fall

EW DELHI-BASED physiotherapist Sanjana Sharma, 42, used to keep a chunk of her earnings aside in a savings bank account to meet her emergency needs. But she no longer favours her savings account. Instead, she parks her money in fixed deposits (FDs). The reason: the growing disparity in interest rates. With FD rates as high as 7-8%, while savings account offer just around 3%, she has transitioned from being a saver to an investor.

Similarly, Noida-based Ashish Kumar, a 24-year-old software engineer, began a systematic investment plan (SIP) in a large-cap equity fund soon after he started working. Given the challenges the IT sector has faced in recent times, he has put his money into liquid funds—which may yield returns of up to 7%—for contingency needs. With average returns of 25% in the past year, he has decided to forego keeping money in a savings account.

Like Sharma and Kumar, many are abandoning savings accounts in favour of investing. Instead of letting their money sit idle, they're opting to invest in FDs and liquid funds, or taking the plunge into equities, which have yielded much higher returns in recent years. India, once a country of savers, has transformed to one of investors, and the change has been "phenomenal," Uday Kotak, Founder & Director of Kotak Mahindra Bank, told *BT* recently.

This shift has had a ripple effect in the banking industry. With more money moving out of savings accounts, the CASA (current account and savings account) ratios of banks have taken a hit. Of the total outstanding deposits (₹212.53 lakh crore) of scheduled commercial banks as of March 31, 2024, term deposits accounted for 59% (₹125.44 lakh crore), with the remaining 41%

being CASA deposits. The FY24 figure is much lower than the 43.5% in FY23 or 45.2% in FY22.

A declining CASA ratio is worrisome for the industry, as it is an important indicator for assessing the financial health and performance of a bank. It represents the proportion of a bank's deposits that are in current and savings accounts compared to its total deposits, and it reflects the bank's ability to attract low-cost funding. A lower CASA ratio means banks have to pay more to get funds to lend, which increases overall costs and hence impacts profitability.

For instance, if a bank offers interest of 3% for ₹100 in a savings account but lends ₹100 at an interest of 7%, it stands to gain because of the higher income from the interest levied on the loan versus the interest amount it has to pay the depositor. Do note that banks don't pay interest on current account balances.

For the Top 5 banks in terms of market capitalisation, the average CASA ratio has declined from 49.41% in FY22 to 41.74% in FY24 (see chart). Let's delve deeper into the reasons for this fall.

ANATOMY OF THE FALL

Several factors have contributed to the decline in CASA ratio. One reason is the high interest rates in recent years. Since May 2022, the Reserve Bank of India has increased the repo rate—the rate at which RBI lends money to commercial banks—by 225 basis points (bps) to combat high inflation. As the repo rate rose, banks also raised deposit rates to attract more deposits, limiting liquidity in the system to control inflation and meet the growing credit demand.

"One of the biggest causes for this decline is the upward interest rate regime. When we see an upward